

DATA 3464: Fundamentals of Data Processing

Categorical Data

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Topic overview

- Exploring categorical data
- Categorical data encoding strategies

Resources used:

- [Feature Engineering Chapter 5](#)
- [Scikit-learn User Guide \(7.3\)](#)

What is categorical data?

- Samples can take on one of several discrete values or groups
 - **Nominal**: no particular order to the groups
 - **Ordinal**: groups relate to each other in a specific order
- Categories can be represented as strings *or* numeric types
 - Domain knowledge is necessary!

Let's take a few minutes to brainstorm some examples

Exploring categorical data

We've already done some of this, but some ideas to consider:

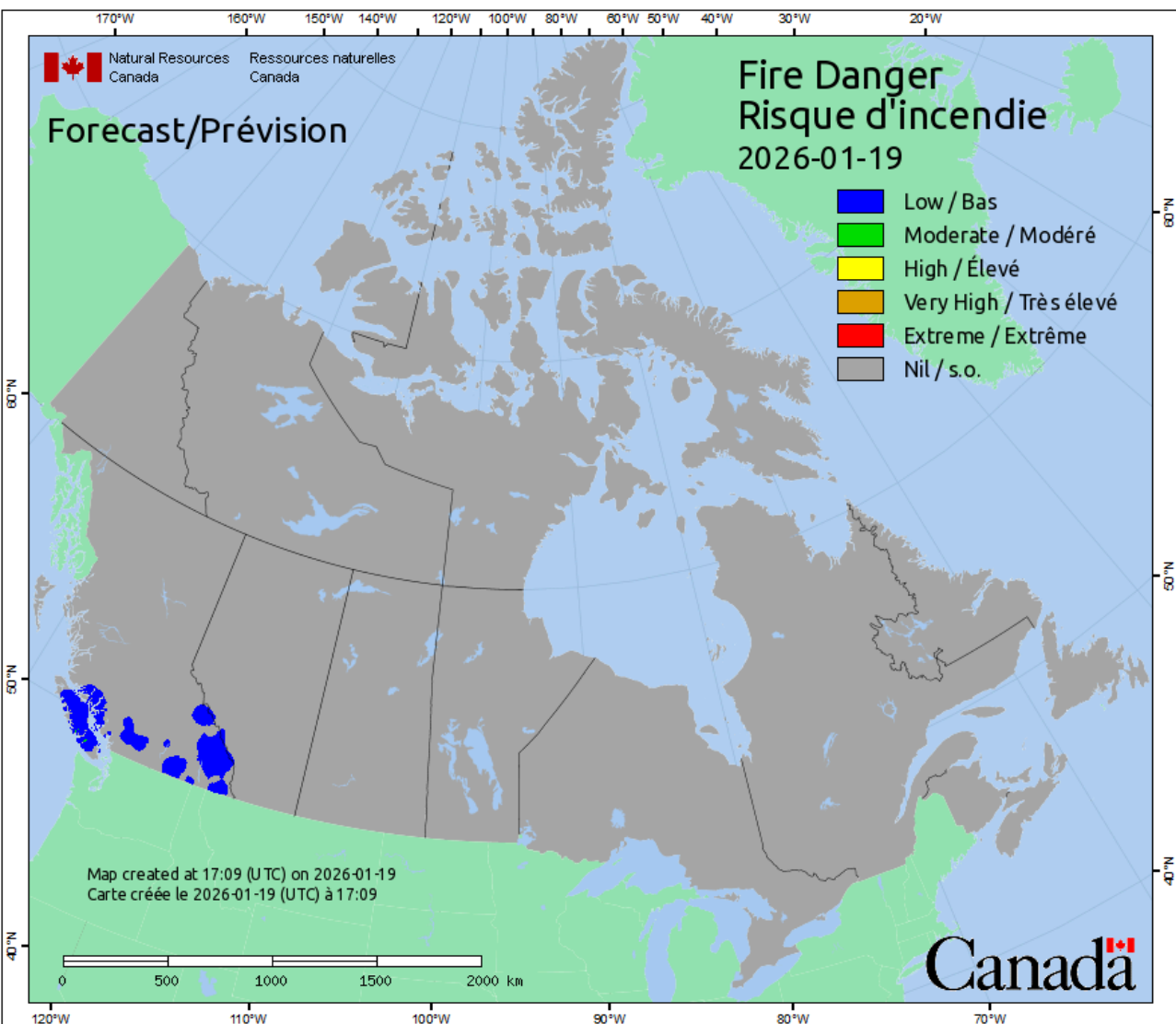
- `pandas.DataFrame.value_counts()` - how many of each category?
- Use category to group, then compute summary stats
- Plot color per category
- Scatter plot with jitter

Representing categorical data

- ~~Tree-based models can handle string-based categories as-is~~ Not in Scikit-Learn
- Consider:
 - Ordinal or nominal?
 - How many possible categories (cardinality)?
 - Any chance new ones might show up?

How could we encode the examples?

What are the benefits and drawbacks of each method?



Ordinal encoding

Category	Feature
Nil	0
Low	1
Moderate	2
High	3
Very High	4
Extreme	5

Nominal categories: one-hot encoding

- Categories have no natural relationship
- Create k new features from k categories, very sparse matrix

Animal		cat	dog	rabbit
cat	→	1	0	0
dog	→	0	1	0
rabbit	→	0	0	1

Another approach: target encoding

- Basic concept: replace the category with the mean of the target
- Essential to avoid data leakage!
- Example: predicting weight of animal

Animal		mean_kg
cat	→	4.1
dog	→	15.4
rabbit	→	2.2

Where we left off on January 22

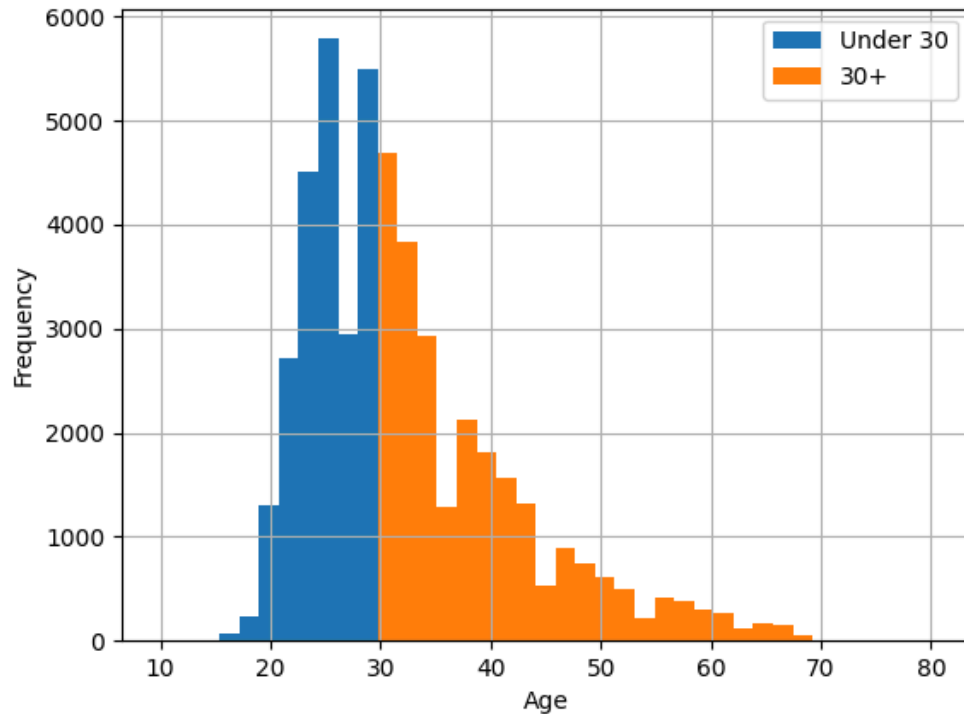
Getting fancy with feature hashing

- Good if you have too many categories, or combinations of categories
- Converts each category into a fixed-length feature vector

Animal		A_0	A_1	A_2	...	A_16
cat	→	1	0	0	...	1
dog	→	0	1	0	...	1
rabbit	→	1	0	1	...	0

Even fancier methods exist, like [supervised encoding methods](#) which basically train a model-within-a-model

From numbers to categories: discretization



- Sometimes numeric data is better represented as categorical
- Still needs encoding strategy
- Can introduce nonlinear relationships
- Like everything, contextual

Advantages/disadvantages of various methods

Ordinal

- + Compact (1 column/feature)
- + Only useful for naturally ordered data
- Imposes (linear) relationship
- Difficult to deal with novel categories

One-hot

- + No assumptions made about relationships
- + Novel features implied by 0
- Memory intensive
- Not good for high cardinality
- Potential collinearity issues

Advantages/disadvantages continued

Target encoding

- + Powerful if strong predictor
- + Compact
- Doesn't work for unsupervised
- Central tendency poor measure for categories with few samples
- Difficult to deal with novel categories

Feature hashing

- + Natively handles novel categories
- + Compact (fixed columns/features)
- + Good for high cardinality
- Risk of hash collision
- Loss of interpretability/meaning

Coming up next

- Assignment 1 January 30th
- Lab: practice with modelling process

Feature Engineering Chapter 5